

Indian Cos retain better

Indian companies are very good at retaining employees for long periods of time, according to a new study. Employees in the IT sector can expect hefty increments this year

Feature

managing director. I joined the Nagarjuna Group in Hyderabad in 1990, and moved on with Nrupender Rao a year later, when he left to start the Pennar Group. I was his executive assistant and that proved to be the turning point in my life. I got a close view of what an entrepreneur was capable of doing, the change he was capable of triggering.

Rao made me come to an important realisation—entrepreneurs are not born. They are made. I think role-model entrepreneurs do much more to spark off entrepreneurship than any education. People like NR Narayana Murthy and Nandan Nilekani can change the limits of your thoughts and show what's possible.

I knew then that I was going to be an entrepreneur. Soon after, I incorporated my company, India Life, and went off to Wharton to study management. I got professors from there involved in my business. Most people want to make it to a business school to get a lucrative job. They have the math all wrong. A business school is like intellectual wine-tasting. These places are the best incubators in the world; the alumni, the professors and the resources for developing a business plan are just amazing. I think people should go to a business school, write their business plan, find an investor and come out ready to execute. That's what I did. I found the View Group at Wharton, and got USD\$2 million to start a health insurance company. That morphed to pension fund management, and then, finally to pension fund administration, before becoming an outsourcing company that was bought out by Hewitt in 2002.

As the clauses with Hewitt would have it, I spent the next two years in Singapore managing their Asia outsourcing business. Every Monday, we would be locked in a conference where everybody could say no and nobody could say yes. As soon as the lock-in period ended, I called it quits and relocated to Bangalore. After all, the king of a small kingdom is still a king.

We had built and sold a company. That gave us enough credibility to start the next one. We knew what we wanted our next company to be—profitable, fun and good for India. Thus, was born Team-

Lease, India's first temporary-employment company. We have hired someone every five minutes for the past five years. So we consider ourselves good for India. We are profitable. And we have had fun.

As a company, we bring rigour and process to the employment business. I believe in the adage—don't do charity; give people a chance. We do that—by finding jobs for short durations, where youngsters get an opportunity to work hard and get noticed. Many of our temporary placements become permanent employees of the companies within a year.

In India, our primary and vocational education systems are messed up. People in the Northeast can speak English and are, therefore, hired at a higher salary compared to the migrants from UP and Bihar, who have been taught in Hindi. The children in these areas didn't do anything different. These are implications of policy decisions, which allowed English to be taught in one state, but not in another.

"If the public policy angle of TeamLease wasn't there, I wouldn't have been able to sustain myself."

What drives me crazy is that out of the one lakh kids who call us up every month, we manage to hire only three per cent. There's nothing wrong with the other 97,000. They are willing, but not able. We had a job mela in Jaipur with the Rajasthan government, where 35,000 people turned up in one day. If 800 of them had been born in a metro, they would have had a job. It's the ovarian lottery. Where you are born in India can have such an overwhelming impact on where you land up in life.

I probably didn't realise I had won this lottery till I started TeamLease. Given my background, I find no contradiction between doing well and doing good. That's why I am enjoying my second venture much more than my first, India Life. For me, it's more than a company. It's a cause.

As we become older, we look for blended returns. And TeamLease offers more returns than HR out-

sourcing. If the public policy angle of TeamLease wasn't there, I wouldn't have been able to sustain myself.

In many ways, TeamLease was a child of India Life. In hindsight, we probably sold our first venture a few years earlier than we should have. But then, with external money, the meter was always ticking on us. That's why we did things a bit differently the second time. For TeamLease, we didn't take any external money till the last month. We wanted the runway and space to craft this venture differently. We got senior people in much earlier. We decided to focus on public policy, which has been great for the company. People recognise us as someone who has the backbone to stand up. We also scaled up much faster since we were working with a good team of people. Most of them, we knew from the India Life days.

The difference between a cult and a religion is that one outlives its founder. Even if a truck were to hit me, TeamLease would run for itself. We are very proud of that. At every point in a company's life, if you aren't moving forward, you are moving backward. We could have waited for the labour laws to change. But it's better to at least try and influence the outcome like we have been able to in case of the labour laws. Yes, we haven't managed to change them, but no one's shut us down.

As a company, we have to shift from quantity to quality. So far, hiring in India was about getting on board a pair of hands. No one cared if a brain came attached with it. The economic downturn has turned that upside down. Suddenly, people are realising they can achieve more with less.

I have no doubt that we will fix India's people supply chain, as well as problems of matching and matchmaking. We'll either succeed, or we'll die trying. TeamLease will have a million employees and become India's largest private sector employer. Till then, we will continue our efforts to sabotage the ovarian lottery. 

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